

### 3.1.3 How prices are determined

Students explore how prices are determined in a market using supply and demand. They look at intermarket relationships to understand the impact that changes in supply and demand in one market can have on other markets. The section concludes with an investigation of price elasticities, including how they are calculated and interpreted.

### 3.1.3.1 Demand for goods and services

| Content                                                                                                                                                                         | Additional information                                                                                                                                                                                                                                                                                                                                     |
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| <ul style="list-style-type: none"><li>• The factors which determine the demand for a good or service</li><li>• Causes of changes in demand</li><li>• The demand curve</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• what is meant by the demand for a good or service</li><li>• the factors which influence demand</li><li>• how to construct an individual demand curve from consumer data</li><li>• the difference between shifts of, and movements along, the demand curve.</li></ul> |

### 3.1.3.2 Supply for goods and services

| Content                                                                                                                                                                        | Additional information                                                                                                                                                                                                                                                                                                                                             |
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| <ul style="list-style-type: none"><li>• The factors which determine the supply of a good or service</li><li>• Causes of changes in supply</li><li>• The supply curve</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• what is meant by the supply of a good or service</li><li>• the factors which influence supply</li><li>• how to construct an individual firm's supply curve from production data</li><li>• the difference between shifts of, and movements along, the supply curve.</li></ul> |

### 3.1.3.3 Equilibrium price

| Content                                                                                                                                                                                         | Additional information                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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| <ul style="list-style-type: none"><li>• How equilibrium price is determined by supply and demand</li><li>• How markets supply and demand diagrams can illustrate a producer's revenue</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• how the interaction between supply and demand determines equilibrium price using a supply and demand diagram</li><li>• why excess demand and excess supply can lead to changes in price</li><li>• how to use supply and demand diagrams to understand the impact of changes in equilibrium market prices</li><li>• how demand and supply curves can be applied to a variety of real-world markets</li><li>• how to demonstrate revenue on a demand and supply diagram.</li></ul> |

#### 3.1.3.4 Intermarket relationships

| Content                                                                                                                                                       | Additional information                                                                                                                                                                                                                                |
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| <ul style="list-style-type: none"><li>• Complements and substitutes</li><li>• How changes in a particular market are likely to affect other markets</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• the meaning of complementary and substitute goods</li><li>• the impact of changes in demand, supply and price in one market on other related markets.</li></ul> |

#### 3.1.3.5 Price elasticity of demand

| Content                                                                                                                                                                            | Additional information                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| <ul style="list-style-type: none"><li>• Price elasticity of demand</li><li>• Factors affecting price elasticity of demand</li><li>• Measuring price elasticity of demand</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• that changes in price don't always cause equivalent changes in demand</li><li>• the factors that affect price elasticity of demand</li><li>• the difference between price elastic demand and price inelastic demand</li><li>• that price elasticity of demand is measured as the percentage change in quantity demanded, divided by the percentage change in price and be able to perform calculations from given data</li><li>• the implications of price elasticity of demand for producers and consumers.</li></ul> |

#### 3.1.3.6 Price elasticity of supply

| Content                                                                                                                                                                            | Additional information                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| <ul style="list-style-type: none"><li>• Price elasticity of supply</li><li>• Factors affecting price elasticity of supply</li><li>• Measuring price elasticity of supply</li></ul> | <p>Students should be able to understand:</p> <ul style="list-style-type: none"><li>• that changes in price don't always cause equivalent changes in supply</li><li>• the factors that affect price elasticity of supply</li><li>• the difference between price elastic supply and price inelastic supply</li><li>• that price elasticity of supply is measured as the percentage change in quantity supplied, divided by the percentage change in price and be able to perform calculations from given data</li><li>• the implications of price elasticity of supply for producers and consumers.</li></ul> |